

The power of setting up a long-term savings plan for your Barefoot Ladder Fund

If you invest . . .	. . . \$0 a month	. . . \$100 a month	. . . \$200 a month	. . . \$400 a month
After 10 years you could have . . .	0	\$17 384	\$34 768	\$69 535
After 15 years you could have . . .	0	\$32 583	\$65 165	\$130 330

Based on an 8 per cent return

Everything you wanted to know about investing for your kids in two pages

When does my kid get the funds from the Barefoot Ladder?

When they buy their home.

Of course you could pay regularly and match their savings, but for most parents, since it's going to be at least 10 years before your kid buys a home, you'll get better results investing your Barefoot Ladder Fund and paying out when kid is ready to enter the property market.

Should I open one investing account for each child—or combine them all?

Open one for each kid, in the parent's name.

How should I invest it?

If you're investing for longer than 10 years, you should be invested in the share market. However, if your timeframe is shorter than that, sign up to an online savings account and set up a regular monthly savings plan.

When can I cash out my investment?

Any time you like. If you hold your investment bond for 10 years or more, it can be cashed out without incurring any further tax. (In technical terms, no growth will be included in the investor's tax return.)